**DATED 12 DECEMBER 2025**

# MASTER SOFTWARE AND SERVICES AGREEMENT

*relating to the Aurora Grid Intelligence Platform (Project Lyra)*

between

**Verdant Energy Systems Limited**

and

**Pennland Water plc**

**EXECUTION VERSION**

THIS AGREEMENT is dated 12 December 2025 and made

**BETWEEN:**

(1) Verdant Energy Systems Limited, a company incorporated in England and Wales with registered number 10472298 whose registered office is at Calder House, 14 Prospect Way, Reading RG1 8DH ("Verdant" or the "Supplier"); and

(2) Pennland Water plc, a company incorporated in England and Wales with registered number 03318740 whose registered office is at Aqueduct House, Severn Road, Gloucester GL1 2LE (the "Customer"),

each a "Party" and together the "Parties".

**BACKGROUND**

(A) Verdant has developed the Aurora Grid Intelligence Platform, a software-as-a-service application for the management and optimisation of behind-the-meter battery energy storage and the reduction of energy costs.

(B) The Customer operates water and wastewater treatment infrastructure and wishes to license the Platform and procure related managed services across its Sites.

(C) Verdant has agreed to license the Platform and provide the Services on the terms of this Agreement.

**IT IS AGREED as follows:**

## 1. DEFINITIONS AND INTERPRETATION

In this Agreement, unless the context otherwise requires, the following definitions apply:

"Aurora Platform" or "Platform" means the Aurora Grid Intelligence Platform, being Verdant's proprietary energy-management and battery-optimisation software-as-a-service application, together with its associated APIs, dashboards and reporting tools, as more particularly described in SOW-1.

"Authorised Users" means the employees and contractors of the Customer authorised by the Customer to access and use the Platform.

"Baseline" means the verified twelve-month energy-cost baseline for the Sites established under SOW-1, against which Energy Savings are measured.

"Charges" means the charges payable by the Customer under this Agreement as set out in Schedule 2.

"Customer Data" means all data, including Site operational data and energy-consumption data, inputted by or on behalf of the Customer into the Platform, and all personal data processed by Verdant on the Customer's behalf.

"Effective Date" means 1 January 2026.

"Energy Savings" means the verified reduction in the Customer's energy costs across the Sites below the Baseline, calculated in accordance with the measurement-and-verification methodology in SOW-1.

“Initial Term” means the period of 5 years from the Effective Date.

“Service Levels” means the service levels set out in the SLA (Schedule 3).

“Services” means the implementation, integration, hosting, managed-optimisation and support services to be provided by Verdant under this Agreement and SOW-1.

“Sites” means the 11 water and wastewater treatment sites of the Customer listed in Schedule 1, as varied from time to time by agreement.

“SOW” means a statement of work agreed by the Parties, the first of which (“SOW-1”) is appended as Schedule 4.

Headings are for convenience only and do not affect interpretation. Words importing the singular include the plural and vice versa. A reference to a statute is to that statute as amended or re-enacted.

## 2. GRANT OF LICENCE

**2.1** In consideration of the Charges, Verdant grants to the Customer a non-exclusive, non-transferable, non-sublicensable licence during the Term to permit Authorised Users to access and use the Platform solely for the Customer’s internal business operations at the Sites.

**2.2** The Customer shall not, except as permitted by law: (a) copy, modify, or create derivative works of the Platform; (b) reverse engineer, decompile or disassemble any part of the Platform; (c) sublicense, rent, lease or make the Platform available to any third party; or (d) remove or obscure any proprietary notices.

**2.3** The Customer is responsible for ensuring that Authorised Users comply with this Agreement and for all acts and omissions of Authorised Users.

## 3. IMPLEMENTATION AND SERVICES

**3.1** Verdant shall implement the Platform and provide the Services in accordance with SOW-1 and the implementation plan set out therein, using reasonable skill and care and personnel with the requisite skill, qualifications and experience.

**3.2** Verdant shall provide the managed-optimisation Services to actively dispatch and optimise the Customer’s behind-the-meter battery assets across the Sites with a view to reducing the Customer’s energy costs below the Baseline.

**3.3** The Customer shall provide Verdant with such access to the Sites, metering data, network connections and personnel as Verdant reasonably requires to provide the Services (the “Customer Dependencies”). Verdant is not liable for any delay or failure to meet the Service Levels to the extent caused by the Customer’s failure to meet the Customer Dependencies.

## 4. SERVICE LEVELS AND SERVICE CREDITS

**4.1** Verdant shall provide the Platform in accordance with the Service Levels set out in the SLA, including a target monthly Platform availability of 99.7%.

**4.2** If Verdant fails to meet the availability Service Level in any quarter, the Customer is entitled to service credits calculated in accordance with the SLA, up to a maximum of 10% of the Platform subscription Charges payable for that quarter. Service credits are the Customer's sole financial remedy for failure to meet the availability Service Level, without prejudice to the Customer's right to terminate for material breach.

## 5. CHARGES AND PAYMENT

**5.1** The Customer shall pay the Charges set out in Schedule 2, comprising: (a) a one-off implementation fee of £185,000; (b) an annual Platform subscription of £312,000; (c) an annual managed-optimisation charge of £96,000; and (d) a shared-savings fee equal to 18% of Energy Savings verified in each contract year.

**5.2** All Charges are exclusive of VAT, which the Customer shall pay at the prevailing rate against a valid VAT invoice.

**5.3** Verdant shall invoice the implementation fee on the Effective Date, the annual subscription and managed-optimisation charges annually in advance, and the shared-savings fee annually in arrears following verification of Energy Savings. The Customer shall pay each undisputed invoice within thirty (30) days of the date of invoice.

**5.4** Verdant may increase the annual subscription and managed-optimisation charges on each anniversary of the Effective Date by reference to the percentage increase in the Retail Prices Index over the preceding twelve months, provided that no such increase shall exceed 4% in any contract year.

**5.5** If the Customer fails to pay any undisputed sum by the due date, Verdant may charge interest on the overdue amount at 4% per annum above the base rate of the Bank of England from time to time.

## 6. INTELLECTUAL PROPERTY

**6.1** All intellectual property rights in the Platform, the Services and any improvements, modifications or developments to them are and remain the exclusive property of Verdant or its licensors. Save for the licence in clause 2, nothing in this Agreement transfers any intellectual property rights to the Customer.

**6.2** The Customer owns all intellectual property rights in the Customer Data. The Customer grants Verdant a non-exclusive licence to use the Customer Data to the extent necessary to provide the Services.

**6.3** Verdant may collect, use and retain anonymised and aggregated data derived from the Customer Data, from which the Customer and any individual cannot be identified, to develop, improve and benchmark the Platform and Verdant's services generally.

**6.4** Verdant shall indemnify the Customer against any sums awarded against the Customer by a court of competent jurisdiction arising from a claim that the Customer's use of the Platform in accordance with this Agreement infringes the intellectual property rights of a third party, subject to the Customer promptly notifying Verdant and allowing Verdant to conduct the defence.

## 7. DATA PROTECTION

**7.1** Each Party shall comply with its obligations under applicable data protection laws, including the UK GDPR and the Data Protection Act 2018.

**7.2** The Parties acknowledge that, in respect of any personal data processed under this Agreement, the Customer is the controller and Verdant is the processor. The Parties shall enter into and comply with the data processing agreement at Schedule 5.

## 8. CONFIDENTIALITY

**8.1** Each Party shall keep confidential all confidential information of the other Party and shall not use it except for the purpose of performing its obligations under this Agreement. This clause does not apply to information that is or becomes public other than by breach, or that is required to be disclosed by law or a competent regulator.

**8.2** This clause survives termination of this Agreement for a period of five (5) years.

## 9. WARRANTIES

**9.1** Each Party warrants that it has full power and authority to enter into and perform this Agreement.

**9.2** Verdant warrants that: (a) the Services will be provided with reasonable skill and care; (b) the Platform will perform materially in accordance with its documentation; and (c) it will use industry-standard measures to ensure the Platform is free from material defects and malicious code. The detailed warranties are set out in Schedule 6.

**9.3** Except as expressly set out in this Agreement, all warranties, conditions and terms implied by statute or common law are excluded to the fullest extent permitted by law.

## 10. LIMITATION OF LIABILITY

**10.1** Nothing in this Agreement limits or excludes either Party's liability for: (a) death or personal injury caused by its negligence; (b) fraud or fraudulent misrepresentation; or (c) any other liability that cannot be limited or excluded by law.

**10.2** Subject to clause 10.1, neither Party is liable to the other, whether in contract, tort (including negligence), breach of statutory duty or otherwise, for any: (a) loss of profit; (b) loss of anticipated savings; (c) loss of business or revenue; or (d) indirect or consequential loss.

**10.3** Subject to clauses 10.1 and 10.2, each Party's total aggregate liability arising out of or in connection with this Agreement, whether in contract, tort or otherwise, is limited to an amount equal to 125% of the total Charges paid by the Customer in the twelve (12) months immediately preceding the event giving rise to the claim, save that Verdant's liability for any breach of its data-protection obligations under clause 7 and Schedule 5 shall be limited to £1,000,000.

## 11. TERM AND TERMINATION

**11.1** This Agreement begins on the Effective Date and continues for the Initial Term of 5 years, after which it renews automatically for successive periods of twelve (12) months unless either Party gives not less than six (6) months' written notice of termination expiring at the end of the Initial Term or any renewal period.

**11.2** Either Party may terminate this Agreement immediately by written notice if the other: (a) commits a material breach which is irremediable or, if remediable, is not remedied within thirty (30) days of written notice; or (b) becomes insolvent or unable to pay its debts.

**11.3** On termination, the licence in clause 2 terminates, the Customer shall pay all Charges accrued to the date of termination, and Verdant shall provide reasonable exit assistance and return or make available the Customer Data in a commonly used format for a period of sixty (60) days.

## 12. GENERAL

**12.1** Notices. Any notice under this Agreement must be in writing and delivered by hand, prepaid first-class post or email to the address of the relevant Party set out in this Agreement (or as notified).

**12.2** Entire agreement. This Agreement and its Schedules constitute the entire agreement between the Parties and supersede all prior discussions, including the heads of terms dated 30 September 2025 (save for any provisions expressed to survive).

**12.3** Assignment. Neither Party may assign or transfer any of its rights or obligations without the prior written consent of the other (not to be unreasonably withheld), save that Verdant may assign to a member of its group on notice.

**12.4** Third-party rights. A person who is not a Party has no rights under the Contracts (Rights of Third Parties) Act 1999 to enforce any term of this Agreement.

**12.5** Variation. No variation of this Agreement is effective unless in writing and signed by or on behalf of each Party.

**12.6** Force majeure. Neither Party is liable for any delay or failure to perform caused by events beyond its reasonable control.

**12.7** Counterparts. This Agreement may be executed in counterparts, each of which when executed is an original and which together constitute one agreement.

**12.8** Governing law and jurisdiction. This Agreement and any dispute or claim arising out of or in connection with it are governed by the laws of England and Wales, and the Parties submit to the exclusive jurisdiction of the courts of England and Wales.

## EXECUTION

This Agreement has been executed by the Parties on the date first stated above.

SIGNED for and on behalf of

**Verdant Energy Systems Limited**

Signature: /s/ Helena Voss

Name: Dr Helena Voss

Title: Chief Executive Officer

Date: 12 December 2025

SIGNED for and on behalf of

**Pennland Water plc**

Signature: /s/ Geoffrey Marwood

Name: Geoffrey Marwood

Title: Chief Operating Officer

Date: 12 December 2025

## SCHEDULE 2 – CHARGES

*All Charges are exclusive of VAT.*

1. Implementation fee (one-off): £185,000.
2. Platform subscription (annual): £312,000 per contract year.
3. Managed-optimisation / O&M charge (annual): £96,000 per contract year.
4. Shared-savings fee: 18% of verified Energy Savings above the Baseline.
5. Annual uplift: RPI-linked, capped at 4% per contract year.

## SCHEDULE 6 – WARRANTIES

Verdant warrants to the Customer that, as at the Effective Date and throughout the Term:

1. Authority and standing. Verdant is validly incorporated and has full corporate power to enter into and perform this Agreement, and execution has been duly authorised.

2. Service performance. The Services will be performed with reasonable skill and care, in a professional and workmanlike manner, and in accordance with good industry practice for the provision of comparable energy-management software and managed services.

3. Platform conformance. The Platform will, when properly used, perform materially in accordance with the documentation and the specifications set out in SOW-1.

4. Title and IP. Verdant has all rights, licences and consents necessary to grant the licence in clause 2 and to provide the Services, and the Platform does not, to Verdant's knowledge, infringe the intellectual property rights of any third party.

5. Malicious code. Verdant will use commercially reasonable, industry-standard measures (including up-to-date anti-malware tooling and secure development practices) to ensure the Platform does not contain any virus, worm, trojan or other malicious code.

6. Security. Verdant maintains and will maintain throughout the Term an information-security management framework consistent with ISO/IEC 27001 and will notify the Customer without undue delay of any Security Incident affecting Customer Data.

7. Compliance with laws. Verdant will comply with all laws applicable to its provision of the Services, including data protection laws and applicable anti-bribery and modern-slavery legislation.

8. No conflict. Verdant's entry into and performance of this Agreement does not and will not breach any other agreement or obligation binding on it.